

DEFINITION AND NATURE & SCOPE OF ECONOMICS – DIVISIONS OF ECONOMICS

Economics is the science that deals with production, exchange and consumption of various commodities in economic systems. It shows how scarce resources can be used to increase wealth and human welfare. The central focus of economics is on scarcity of resources and choices among their alternative uses. Economics deals with how the numerous human wants are to be satisfied with limited resources.

DEFINITIONS OF ECONOMICS

Wealth Definition Adam Smith defined economics as the science of wealth. He explained how a nation's wealth is created. He considered that the individual in the society wants to promote only his own gain and in this, he is led by an "invisible hand" to promote the interests of the society though he has no real intention to promote the society's interests.

Welfare Definition Alfred Marshall Economics is a study of mankind in the ordinary business of life; it examines that part of individual and social action which is most closely connected with the attainment and with the use of the material requisites of well being". Welfare means happiness or comfortable living conditions of an individual or group of people.

Scarcity Definition Lionel Robbins "economics is a science which studies human behaviour as a relationship between ends and scarce means which have alternative uses".

Growth Definition Prof. Paul Samuelson defined economics as "the study of how men and society choose, with or without the use of money, to employ scarce productive resources which could have alternative uses, to produce various commodities over time, and distribute them for consumption, now and in the future among various people and groups of society".

SCOPE OF ECONOMICS

Scope means province or field of study. In discussing the scope of economics, we have to indicate whether it is a science or an art and a positive science or a normative science. It also covers the subject matter of economics.

a) Economics is a science: Science is a systematized body of knowledge that traces the relationship between cause and effect. Another attribute of science is that its phenomena should be amenable to measurement. Applying these characteristics, we find that economics is a branch of knowledge where the various facts relevant to it have been systematically collected, classified and analyzed. The motives of individuals and business firms can be very easily measured in terms of money. Thus, economics is a science.

b) Economics is also an art. An art is a system of rules for the attainment of a given end. A science teaches us to know; an art teaches us to do. Applying this definition, we find that economics offers us practical guidance in the solution of economic problems. Science and art are complementary to each other and economics is both a science and an art.

a) Positive science: It only describes what it is and normative science prescribes what it ought to be. Positive science does not indicate what is good or what is bad to the society. It will simply provide results of economic analysis of a problem.

Positive economics is the stream of **economics** that has an objective approach, relied on facts. ... A **positive economics example** is a statement, "Government-funded healthcare surges public expenditures." This statement is based on facts and has a considerable value judgement involved in it.

b) Normative science: It makes distinction between good and bad. It prescribes what should be done to promote human welfare. A positive statement is based on facts. A normative statement involves ethical values. For example, "12 per cent of the labour force in India was unemployed last year" is a positive statement, which could be verified by scientific measurement. "Twelve per cent unemployment is too high" is a normative statement comparing the fact of 12 per cent unemployment with a standard of what is unreasonable. It also suggests how it can be rectified. Therefore, economics is a positive as well as normative science. Normative economics aims to determine what should happen or what ought to be.

Methodology of Economics Economics as a science adopts two methods for the discovery of its laws and principles, viz., (a) deductive method and (b) inductive method.

An economic theory derives laws or generalizations through two methods:

(1) Deductive Method and (2) Inductive Method.

Economic theory employs two methods: the hypothetical-deductive method, used principally by neoclassical economists, and the historical-deductive method adopted by classical and Keynesian economists.

a) Deductive method: The deductive method is also known as the abstract or analytical method. In this method, conclusions are derived from general truths, i.e. it proceeds from general to particular. The classical and neo-classical school of economists such as Ricardo, Mill, Malthus, Marshall, Pigou, etc. applied the deductive method in their economic investigations. Here, we descend from the general to particular, i.e., we start from certain principles that are self-evident or based on strict observations. Then, we carry them down as a process of pure reasoning to the consequences that they implicitly contain. For instance, traders earn profit in their businesses is a general statement which is accepted even without verifying it with the traders. The deductive method is useful in analyzing complex economic phenomenon where cause and effect are inextricably mixed up. However, the deductive method is useful only if certain assumptions are valid. (Traders earn profit, if the demand for the commodity is more).

b) Inductive method: Inductive method which is also called empirical method was adopted by the historical school of economists. Its conclusions are derived from particular facts, i.e. it proceeds from particular to general. This method derives economic generalisations on the basis of experimentations, observations, and statistical methods. This method mounts up from particular to general, i.e., we begin with the observation of particular facts and then proceed with the help of reasoning founded on experience so as to formulate laws and theorems on the basis of observed facts. E.g. Data on consumption of poor, middle and rich income groups of people are collected, classified, analyzed and important conclusions are drawn out from the results. FACT TO THEORY

The study of economics is divided into: i) Microeconomics and ii) Macroeconomics.

1. Microeconomics analyses the economic behaviour of any particular decision making unit such as a household or a firm. Microeconomics studies the flow of economic resources or factors of production from the households or resource owners to business firms and flow of goods and services from business firms to households. It studies the behaviour of individual decision making unit with regard to fixation of price and output and its reactions to the changes in demand and supply conditions. Hence, microeconomics is also called price theory.

2. Macroeconomics studies the behaviour of the economic system as a whole or all the decision-making units put together. Macroeconomics deals with the behaviour of aggregates like total

employment, gross national product (GNP), national income, general price level, etc. So, macroeconomics is also known as income theory.

Microeconomics cannot give an idea of the functioning of the economy as a whole. Similarly, macroeconomics ignores the individual's preference and welfare. What is true of a part or individual may not be true of the whole and what is true of the whole may not apply to the parts or individual decisionmaking units. By studying about a single small-farmer, generalization cannot be made about all small farmers, say in Tamil Nadu state. Similarly, the general nature of all small farmers in the state need not be true in case of a particular small farmer. Hence, the study of both micro and macroeconomics is essential to understand the whole system of economic activities.

An example of normative economics would be, "We should cut taxes in half to increase [disposable income](#) levels." By contrast, a positive or objective economic observation would be, "Based on past data, big [tax cuts](#) would help many people, but government budget constraints make that option unfeasible." The provided example is a normative economic statement because it mirrors value judgments. This particular judgment assumes that disposable income levels must be increased.

Normative economics aims to determine people's desirability or the lack thereof to various economic programs, situations, and conditions by asking what *should* happen or what *ought* to be. Therefore, normative statements typically present an opinion-based analysis in terms of what is thought to be desirable. For example, stating that the government should strive for economic growth of x% or inflation of y% could be seen as normative.